**Q.1 Why are franchises attractive to new entrepreneurs?**

A. Limited tax benefits
B. Total independence
**C. Brand recognition and business model**
D. Government support

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**Q.2 What is a major advantage of partnerships over sole proprietorships?**

A. Less capital
**B. Shared resources and skills**
C. No registration needed
D. Double taxation

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**Q.3 Which form of business has joint and several liability?**

A. Public Company
**B. Partnership**
C. Cooperative
D. Franchise

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**Q.4 Which motivation theory is based on five hierarchical levels?**

A. Theory X and Y
B. McClelland's Theory
**C. Maslow's Hierarchy**
D. Herzberg's Theory

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**Q.5 A key disadvantage of sole proprietorship is:**

A. Excessive legal regulation
B. Complex registration
**C. Unlimited liability**
D. Low operational flexibility

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**Q.6 A firm planning to raise capital through the stock exchange must register as:**

A. Private Limited Company
B. Single Member Company
**C. Public Limited Company**
D. Partnership

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**Q.7 Why is a company more credible to banks and investors than a sole proprietorship?**

**A. Perpetual Succession and formal structure**
B. It is unregistered
C. It has fewer rules
D. It is tax-free

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**Q.8 A franchisee:**

A. Works under a government license
**B. Operates under an established brand**
C. Has unlimited liability
D. Creates its own brand

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**Q.9 What was the key conclusion of the Hawthorne Studies?**

**A. Social recognition boosts performance**
B. Physical conditions always improve output
C. Good lighting improves productivity
D. Workers are only motivated by wages

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**Q.10 If three friends want to start a bakery and share profits and decisions, they should form a:**

A. Franchise
B. Company
C. Sole Proprietorship
**D. Partnership**

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